

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

FULTER LOGISTICS LLC, *REVOCATION OF OCEAN
TRANSPORTATION INTERMEDIARY LICENSE NO. 027912NF*

DOCKET NO. 22-09

Served: July 26, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

INITIAL DECISION REVOKING OCEAN TRANSPORTATION LICENSE¹

I. INTRODUCTION

A. Summary

Respondent Fulter Logistics LLC (“Fulter Logistics”) is licensed as an ocean transportation intermediary (“OTI”) by the Federal Maritime Commission (“FMC” or “Commission”). On March 11, 2022, the Commission’s Bureau of Certification and Licensing (“BCL”) notified Fulter Logistics that the Commission intended to revoke its OTI license on the basis that Fulter Logistics had failed to respond to a lawful inquiry by the Commission and lacks the necessary character to render ocean transportation intermediary services under the Commission’s regulations at 46 C.F.R. § 515.11(a)(2). Fulter Logistic then requested a hearing on the proposed revocation pursuant to the Commission’s regulations at 46 C.F.R. § 515.17 and 46 C.F.R. Part 502, Subpart X. In accordance with the provisions of 46 C.F.R. § 502.702(a), the Secretary of the Commission assigned this proceeding to the Office of Administrative Law Judges (“OALJ”) for adjudication.

As required under the Commission’s Rules at Subpart X, BCL and the Commission’s Bureau of Enforcement (“BOE”) were notified that Fulter Logistics had requested a hearing and BOE was ordered to serve a copy of the revocation notice and materials supporting the revocation notice. In addition, Fulter Logistics was informed that it had a right to file a response within thirty days of BOE’s submission. On the day of the established deadline for Fulter Logistics to file its response, Fulter Logistics sent an email to the Secretary indicating that it intended to file a motion requesting an extension of the deadline to submit its response, but then failed to file the motion or to participate any further in the proceeding despite a reminder from OALJ. BOE subsequently submitted a

¹ This initial decision will become final within 22 days of service in the absence of exceptions filed by either party or review by the Commission. 46 C.F.R. § 502.708(c).

reply brief in support of its argument that Fulter Logistics' license should be revoked. As a result of Fulter Logistics' failure to submit any evidence to support its request for a hearing, the evidence of record consists solely of the materials submitted by BOE.

As discussed below in greater detail, the evidence provided by BOE supports a finding that Fulter Logistics' OTI license should be revoked and no evidence in the record contradicts or disproves that evidence. Fulter Logistics' OTI license is therefore revoked.

II. BACKGROUND

A. Factual Allegations

Respondent Fulter Logistics is a limited liability Delaware entity with its principal place of business in the State of Florida, operating under the name Fulter Logistics USA LLC. BOE 2.² It has been licensed with the Commission as an OTI since December 31, 2019. BOE 2. Nicolas Soria is Fulter Logistics' qualifying individual ("QI"). BOE 6.

On July 28, 2021, Fulter Logistics submitted a Form FMC-18 Application to BCL to add a trade name to Fulter Logistics' OTI license. During processing of the application, BCL discovered that there was an undisclosed judgment against Fulter Logistics dated July 11, 2021, in the amount of \$12,832.37, in favor of Platinum Cargo Logistics Inc. ("Platinum Logistics"). BOE 39. Part B, item 7 of Form FMC-18 requires an applicant to disclose a legal judgment for debt against it and the Commission's Rules at 46 C.F.R § 515.20(e) require licensees to report changes of material fact to the Commission within thirty days. Fulter failed to report the debt judgment against it during its application to add a trade name and within the thirty-day period required by Rule 515.20(e). When questioned about the judgment on October 27, 2021, Fulter Logistics stated that it would pay the debt judgment but did not explain why it failed to disclose the debt to the Commission. Further, upon follow-up, BCL staff was advised by Platinum Logistics on November 17, 2021, that Fulter Logistics still had not paid the debt judgment. To date, Fulter Logistics has neither submitted proof to BCL that it has paid the debt judgment nor provided an explanation why it failed to disclose the debt judgment to the Commission. BOE 2.

In addition, BCL discovered that there had been two recent complaints against Fulter Logistics - one by GLT Transportation Group filed in the Miami-Dade County Court, Florida on September 29, 2021, for failure to pay freight charges totaling \$17,778.50, and the second by Paycargo LLC, dated February 3, 2021, which was voluntarily dismissed on May 21, 2021. BOE 3.

Thirdly, BCL learned of past debt owed by Fulter Logistics' QI, Nicolas Soria, incurred when Mr. Soria was the QI and twenty percent owner of Talwin Transport Service LLC ("Talwin"), a Commission-licensed OTI. The debt by Nicolas Soria resulted in a transportation related claim against Talwin's bond, which Mr. Soria entered into an agreement with Roanoke Trade Services to pay but subsequently defaulted on the payment.

² Citations to BOE # are to the bates page numbers in BOE's Submission of Materials Supporting Notice of Revocation Appendix.

Mr. Soria paid the debt only after BCL learned about the debt and inquired about it in connection with BCL's processing of Fulter Logistics' application to add a trade name to its OTI license. BOE 3.

As a result of these events and Fulter Logistics' failure to respond to multiple FMC requests for information, BCL decided to revoke Fulter Logistics' OTI license.

B. Procedural History

On March 31, 2022, the Secretary of the Commission issued a Notice of Hearing Request and Assignment, noting that on March 11, 2022, BCL had notified Fulter Logistics by letter that the Commission intended to revoke Fulter Logistics' OTI license. The Secretary also noted that on March 29, 2022, Fulter Logistics had requested a hearing on the proposed revocation pursuant to the Commission's Rules at 46 C.F.R. § 515.17 and 46 C.F.R. Part 502, Subpart X. Pursuant to Rule 702(a), the Secretary assigned this proceeding to OALJ for adjudication. 46 C.F.R. § 502.702(a).

On April 7, 2022, as required under Rule 702(b), a Notice and Initial Order ("Initial Order") was issued, notifying BCL and BOE that Fulter Logistics had requested a hearing and directing BOE to file by May 9, 2022, a copy of the notice given to Fulter Logistics and BCL's materials supporting the notice. 46 C.F.R. § 502.702(b). The initial order also stated that "BOE may file a brief with legal arguments, proposed findings of fact, or additional information, and any requests for confidential treatment as well as an appendix with supporting documents." Initial Order at 1.

On May 9, 2022, BOE filed a Notice of Appearance, Submission of Materials Supporting Notice of Revocation, and an Appendix containing twenty exhibits. On May 11, 2022, pursuant to Rule 703 (46 C.F.R. § 502.703), a Notice of Right to Respond was issued, stating in pertinent part:

Pursuant to Rule 703, Fulter Logistic is hereby notified of its right to file a response to the May 9, 2022, filing. 46 C.F.R. § 502.703. Fulter Logistics may file a brief with legal arguments, proposed findings of fact, additional information, and any requests for confidential treatment as well as an appendix with supporting documents. Fulter Logistics' response is due on June 10, 2022. 46 C.F.R. § 502.703(a).

Pursuant to Rule 704, BOE may file a reply brief within twenty days of Fulter Logistics' filing. 46 C.F.R. 502.704. This notice serves as BOE's notification of its right to file a reply.

Notice of Right to Respond at 1.

On June 10, 2020, an email was received from Fulter Logistics stating:

Good morning Mr. Secretary,
Per 46 C.F.R. 502.702 I am requesting [an] extension date for the
Submission of Materials Supporting Notice of Revocation. Finishing las[t] 4
Appendix.
Waiting your confirmation,
All[] my Best.

Email dated Friday, June 10, 2022 9:16 AM, From: Nicolas Soria, QI of Fulter Logistics;
To: Serena Tang (BOE), Office of the Secretary; CC: ALJ (and other BOE and BCL staff).

On June 10, 2022, the Secretary responded to Mr. Nicolas Soria in pertinent part as follows:

Good morning Mr. Soria,

The Commission's Rules on Practice and Procedure and the ALJ's Initial Order provide instruction on requesting extension of deadlines. Please refer to § 502.102 which includes the requirements for motions for enlargement of time to file documents, and § 502.71 which indicates you must confer with the opposing party (which is reiterated in the ALJ's Initial Order). I have copied the regulations below.

Email dated Friday, June 10, 2022 11:48 AM, From: Secretary (of the FMC); To: Nicolas Soria; CC: Judges Mailbox (and the BOE and BCL offices and staff included in the email from Mr. Soria).

On June 10, 2022, another email was received from Mr. Soria, stating:

Mr. Secretary good afternoon!
I really appreciated your email and legal information about the regulation (My apologies)[.] Following now procedures and reg.

Best Regards,

Email dated Friday, Friday June 10, 2022 12:50 PM, From: Nicolas Soria; To: the Secretary; CC: Judges Mailbox (and the BOE and BCL staff included in the previous email exchanges).

No materials nor any further communication was received from Fulter Logistics. Therefore, on June 22, 2022, OALJ sent an email to Fulter Logistics, copying BOE and stating: "The Judge expected to receive a filing from Fulter Logistics on June 10, 2022. If additional time is needed, a motion requesting an extension must be filed. Any filings should be copied to this email address." Fulter Logistics did not respond to the email from OALJ and no submissions or communications have been received from Fulter Logistics to date.

On June 30, 2022, BOE filed a reply brief, arguing that a revocation of Fulter Logistics' OTI license is warranted by the Shipping Act of 1984, Commission regulations, and established legal precedent. As previously noted, due to Fulter Logistics' failure to submit any arguments or evidence in the proceeding, the evidence of record consists solely of the materials submitted by BOE.

III. DISCUSSION

A. BOE's Arguments

BOE submitted twenty exhibits and a verified statement by Luther Johnson, an industry analyst at BCL, in support of its contention that revocation of Fulter Logistics' OTI license is warranted. BOE argues that revocation of Fulter Logistics' OTI license should be upheld because: Fulter Logistics and its QI, Soria, failed to notify the Commission of three changes in material facts, contrary to 46 C.F.R. §§ 515.12(e) and 515.20(e) of the Commission's regulations; failed three times to respond to BCL's lawful inquiries, contrary to the Commission's regulations at 46 C.F.R. § 515.16(a)(2); made material false and misleading statements to BCL, contrary to the Commission's regulations at 46 C.F.R. § 515.16(a)(3); and lacks the necessary character to render OTI services as set forth in the Commission's regulations at 46 C.F.R. §§ 515.11 and 515.16(a)(4). BOE Reply at 8-12. BOE asks that an order be issued directing Fulter Logistics to cease and desist all OTI activities. BOE Reply Brief at 12.

B. Controlling Authority

An applicant seeking an OTI license must demonstrate through its qualifying individual that it has the necessary experience by showing that "its qualifying individual has a minimum of three years' experience in ocean transportation intermediary activities in the United States, and the necessary character to render ocean transportation intermediary services." 46 C.F.R. § 515.11(a)(1). The Commission shall conduct an investigation of the applicant's qualifications for a license. Such investigations may address:

- (a) The accuracy of the information submitted in the application;
- (b) The integrity and financial responsibility of the applicant;
- (c) The character of the applicant and its qualifying individual; and
- (d) The length and nature of the qualifying individual's experience in handling ocean transportation intermediary duties.

46 C.F.R. § 515.13.

The Shipping Act grants authority to revoke an OTI's license under certain conditions.

The Federal Maritime Commission, after notice and opportunity for a hearing, shall suspend or revoke an ocean transportation intermediary's license if the Commission finds that the ocean transportation intermediary –

- (1) is not qualified to provide intermediary services; or
- (2) willfully failed to comply with a provision of this part or with an order or regulation of the Commission.

46 U.S.C. § 40903(a).

Further, under the Commission's regulations a license may be revoked or suspended for any of the following reasons:

- (1) Violation of any provision of the Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary;
- (2) Failure to respond to any lawful order or inquiry by the Commission;
- (3) Making a materially false or misleading statement to the Commission in connection with an application for a license or an amendment to an existing license;
- (4) A Commission determination that the licensee is not qualified to render intermediary services; or
- (5) Failure to honor the licensee's financial obligations to the Commission.

46 C.F.R. § 515.16(a).

C. BOE Demonstrates that Revocation of Fulter Logistics' OTI License is Warranted

The materials and brief submitted by BOE support a finding that Fulter Logistics' OTI license should be revoked, and no evidence of record contradicts BOE's arguments or the materials BOE submitted in support of its arguments. Thus, the record supports a finding that Fulter Logistics and its QI, Mr. Soria, failed to notify the Commission of changes in material facts, contrary to 46 C.F.R. §§ 515.12(e) and 515.20(e) of the Commission's regulations; failed to respond to BCL's lawful inquiries, contrary to the Commission's regulations at 46 C.F.R. § 515.16(a)(2); made material false and misleading statements to BCL, contrary to the Commission's regulations at 46 C.F.R. § 515.16(a)(3); and lacks the necessary character to render OTI services as set forth in the Commission's regulations at 46 C.F.R. §§ 515.11 and 515.16(a)(4).

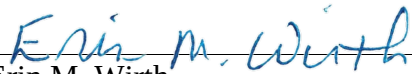
Based on the foregoing, it is found that the evidence supports a finding that Fulter Logistics and its qualifying individual, Nicolas Soria, violated the Commission's regulations at 46 C.F.R. §§ 515.12(e) and 515.20(e) and that Fulter Logistics and its qualifying individual, Nicolas Soria, lack the necessary character to render OTI services as set forth in the Commission's regulations at 46 C.F.R. § 515.11(a). Accordingly, Fulter Logistics' OTI license is revoked.

IV. ORDER

Upon consideration of the evidence and arguments submitted by BOE, and for the reasons stated above, it is hereby

ORDERED that Fulter Logistics' ocean transportation license number 027912NF be **REVOKED** pursuant to 46 C.F.R. § 515.16(a) and 46 U.S.C. § 40903(a). It is

FURTHER ORDERED that Fulter Logistics LLC cease and desist all ocean transportation intermediary activities.


Erin M. Wirth
Chief Administrative Law Judge